that the average of repo rate and deposit rate result in 6 per cent of cost to banks. This is called cost of fund. And the bank lends to its customer at 10 per cent. In this the banks earn 4.0 per cent profit. Now, the RBI raises repo rate from 6.5 per cent to 7.5 per cent. The banks will reduce or stop its borrowing from RBI because if it borrows at 7.5 per cent and lends at 10 per cent its profit will come down. Otherwise, it will borrow at 7.5 per cent from RBI and may lend at 11 per cent to its customer to keep its profit at 4.0 per cent level. It means the interest rate is increased. Now the customer will not borrow at this higher rate or will reduce his borrowings. Hence, the money supply will come down.

CC.1.B. 1. ii. Reverse Repo Rate

It is the rate at which RBI borrows from commercial banks by mortgaging its dated Government securities and Treasury bills. If the reverse repo rate is increased, the banks have two options either to lend to RBI or lend to customers at higher interest rate. If banks lend to RBI, the money available with the bank to lend to its customer will come down. The credit creating capacity of banks and money supply will come down. If the banks raise interest rate on loans to customers at higher rate, the customer will borrow lesser amount. So, the money supply will come down.

Take an example; the reverse repo rate is 8.0 per cent. The banks lend at 10 per cent to its customer when its cost of fund is 7 per cent and earns 3 per cent profit. Now, RBI raises the reverse repo rate from 8 per cent to 9 per cent. The bank will shift its lending from customer to RBI because it can earn higher interest rate of 2 per cent. Though the profit in lending to RBI is less than lending to customers, the banks will prefer RBI. This is because banks have an advantage in lending to RBI, as it is a reliable customer and loan is of short term nature and can lend in bulk. It can earn profit quickly. In this situation, if customers want to get loan from banks, it will charge higher interest from customer because it involves risk and cost. So, it will lend to the customer only if it can get higher return than the return it gets from